

Options, Futures, and Shorts

Investment gimmicks have become so popular that the old motto “Buy a share in America” ought to be changed to “Buy an option on America.” “Invest in the future of America” now means “take a flier at the New York Futures Exchange.”

I’ve never bought a future nor an option in my entire investing career, and I can’t imagine buying one now. It’s hard enough to make money in regular stocks without getting distracted by these side bets, which I’m told are nearly impossible to win unless you’re a professional trader.

That’s not to say that futures don’t serve a useful purpose in the commodity business, where a farmer can lock in a price for wheat or corn at harvest and know he can sell for that amount when the crops are delivered; and a buyer of wheat or corn can do the same. But stocks are not commodities, and there is no relationship between producer and consumer that makes such price insurance necessary to the functioning of a stock market.

Reports out of Chicago and New York, the twin capitals of futures and options, suggest that between 80 and 95 percent of the amateur players lose. Those odds are worse than the worst odds at the casino or at the racetrack, and yet the fiction persists that these are “sensible investment alternatives.” If this is sensible investing, then the *Titanic* was a tight ship.

There’s no point describing how futures and options really work, because (1) it requires long and tedious exposition, after which you’d still be confused, (2) knowing more about them might get you interested in buying some, and (3) I don’t understand futures and options myself.

Actually I do know a few things about options. I know that the large potential return is attractive to many small investors who are dissatisfied with getting rich slow. Instead, they opt for getting poor quick. That’s because an option is a contract that’s only good for a month or two, and unlike most stocks, it regularly expires worthless—after which the options player must buy another option, only to lose 100 percent of his or her money once again. A string of these, and you’re in deep kimchee.

And consider the situation when you’re absolutely sure that something wonderful is about to happen to Sure Thing, Inc., and the good news will send the stock price higher. Maybe you’ve discovered a Tagamet, a cancer cure, a